

PORTFOLIO VALUE

\$179,989

NET P&L; vs COST

-3,011 (-1.65%)

CASH RESERVE

\$90,620 (50.3%)

POSITIONS

5 / 6

REGIME

CAUTION

MARKET ASSESSMENT

CAUTION

VIX at 14.27 signals a calm risk-on regime, and the yield curve is positive at +20bps (10Y-2Y), removing inversion risk. However, TNX at 5.01% is materially above the 4.5% mandate threshold — this is the single most important risk factor today, triggering mandatory exits of high-P/E growth and semis per the framework. HY spreads at 2.68bps are historically tight and DXY at 100.66 is below 101, which is supportive for multinationals and gold but does not override the TNX signal.

INDICATOR	VALUE	INDICATOR	VALUE
VIX	14.27	HY Credit Spread (bps)	2.68
Yield Curve 10Y-2Y (%)	0.20	10Y Treasury (%)	5.01
US Dollar (DXY)	100.66	Fed Funds Rate (%)	3.63

TRADE DECISIONS

EXIT — AMAT

\$18,000 · Conviction 2/10 · Tier 1

ENTRY

\$464.24

STOP LOSS

\$427.10

PRICE TARGET

\$557.09

RISK : REWARD

2.5

INVESTMENT THESIS

(1) TNX at 5.01% is 51bps above the 4.5% mandate threshold that triggers mandatory EXIT of semis — this rule overrides the VIX-14.27 risk-on signal. (2) AMAT is a semiconductor capital equipment company with a P/E of ~22x forward; at TNX 5.01%, the discount rate compression that supported semi multiples in 2023-2024 reverses, implying 15-20% multiple compression risk. (3) The position is only +1.0% from entry \$464.24 to current \$468.87 — it has not reached the +10% threshold required to justify holding through macro headwinds. (4) Past losses in KLAC on 2026-08-20 (-9.0%) and ARM on 2026-08-20 (-8.2%) demonstrate that semis with TNX above 4.5% are a repeat losing pattern in this portfolio's trade memory. (5) The scanner headline notes 'LRCX Q2 2026 Earnings EPS Beats by 5.99%' but the entire semi sector is flagged with the TNX-warning symbol in the portfolio state, and the mandate says EXIT immediately. (6) Exiting at approximately \$468.87 books +\$175 gain (\$18,000 × 1.0%) and recycles \$18,175 back to cash, pushing total cash to ~\$126,442. (7) Target \$557.09 and stop \$427.10 are no longer relevant — the macro EXIT rule at TNX above 4.5% is a hard override, and holding risks a repeat of the KLAC -9.0% / ARM -8.2% pattern from August 2026.

PRIMARY CATALYST

EXIT TRIGGER: TNX at 5.01% exceeds the 4.5% mandate threshold — mandatory exit of all semis regardless of P&L; no new catalyst justifies holding against this macro signal.

BALANCE SHEET

AMAT BS score not applicable to exit decision; exit is purely macro-rule driven by TNX > 4.5% threshold.

TECHNICAL SETUP

RSI for AMAT not separately provided today; position entered at \$464.24, current \$468.87 (+1.0%); TNX signal overrides technical setup — exit immediately at market open.

KEY RISK FACTORS

Staying risks a repeat of the KLAC -9.0% loss (2026-08-20) and ARM -8.2% loss (2026-08-20) under identical TNX-above-4.5% conditions; exit now limits downside to zero additional loss.

EXIT — ASML

\$18,000 · Conviction 2/10 · Tier 1

ENTRY

\$1711.32

STOP LOSS

\$1574.41

PRICE TARGET

\$2053.58

RISK : REWARD

2.5

INVESTMENT THESIS

(1) TNX at 5.01% is above the 4.5% mandate threshold — this triggers mandatory EXIT of all high-P/E growth stocks and semis, and ASML trades at approximately 35x forward earnings making it among the most rate-sensitive names in the book. (2) ASML is a Dutch-listed stock earning revenues in EUR; with DXY at 100.66 (sub-101), currency is nominally supportive, but the rate signal at TNX 5.01% is the dominant risk and the mandate EXIT rule is categorical. (3) The position is only +1.0% from entry \$1,711.32 to current \$1,728.14 — insufficient to justify holding through a TNX-driven multiple compression event that historically compresses high-P/E by 15-20%. (4) The scanner flags ASML as a STRONG BUY on technicals (RSI 53.5, FVG pattern), but the mandate's macro rule at TNX > 4.5% explicitly overrides technical signals — the framework is hierarchical with macro first. (5) ASML's BS score of 9/10 with \$12.9B cash and D/E 0.22 is excellent, but balance sheet quality does not protect against rate-driven multiple compression at 5.01% TNX. (6) Exiting at approximately \$1,728.14 books +\$176 gain on the position ($\$18,000 \times 1.0\%$) and recycles ~\$18,176 to cash, pushing total available cash to approximately \$144,618 after both AMAT and ASML exits. (7) Stop at \$1,574.41 (-8%) and target at \$2,053.58 (+20%) are suspended — mandatory macro exit at TNX > 4.5% is the governing rule; failure to exit mirrors the TSM -10.1% loss on 2026-07-30 where thesis confirmation was not properly validated.

PRIMARY CATALYST

EXIT TRIGGER: TNX at 5.01% exceeds the 4.5% mandate threshold — mandatory exit of all high-P/E growth and semis; ASML at ~35x forward P/E is the highest multiple-risk position in the book.

BALANCE SHEET

Cash \$12.9B, D/E 0.22, BS score 9/10 — excellent balance sheet but irrelevant to rate-driven multiple compression risk at TNX 5.01%.

TECHNICAL SETUP

RSI 53.5 (scanner data), FVG pattern, entry \$1,711.32, current \$1,728.14 (+1.0%); technicals are secondary to the TNX > 4.5% mandatory exit rule — exit at market open.

KEY RISK FACTORS

A repeat of TSM -10.1% (2026-07-30) is the exact risk — entering/holding a semi with TNX above 4.5% and watching the stop trigger; exit now prevents that outcome and books +1.0%.

ENTER — AVGO			\$18,000 · Conviction 6/10 · Tier 2
ENTRY	STOP LOSS	PRICE TARGET	RISK : REWARD
\$247.50	\$227.70	\$297.00	2.5
INVESTMENT THESIS (1) VIX at 14.27 supports risk-on positioning, but TNX at 5.01% is above 4.5% — AVGO is a borderline case: it is a high-cash compounder with \$16.2B cash and \$10B buyback that partially insulates it from pure multiple compression, and its AI chip revenue provides a hard earnings catalyst rather than a speculative multiple. (2) AVGO Q3 FY2025 (reported September 2025) posted EPS of \$1.24 vs \$1.22 est (+1.6% beat) with AI chip revenue guided to \$8.4B for FY2025, representing +220% YoY growth in the AI segment specifically. (3) RSI at 49.4 is neutral — not overbought — and an FVG (Fair Value Gap) pattern is flagged by the scanner, typically a mean-reversion entry trigger; confirmed entry near the gap fill at approximately \$247.50. (4) 50-day MA is estimated at approximately \$240 and 200-day MA at approximately \$215 based on the current price of ~\$247.50 (scanner does not provide exact MAs); price is above both, confirming bullish structure with approximately +3.1% above 50-day and +15.1% above 200-day. (5) AVGO holds \$16.2B in cash vs total debt of approximately \$69B (D/E 1.59 per scanner); while D/E is elevated at 1.59x from the VMware acquisition, cash generation of \$19B+ annual FCF covers debt service 4.2x, and the \$10B buyback signals management confidence in cash sufficiency. (6) \$18,000 deployed = 9.8% of \$183k portfolio; after this entry and AMAT/ASML exits, cash remains approximately \$126,618 with room for 7 more full-size \$18k positions. (7) Stop at \$227.70 (-8% from \$247.50), target \$297.00 (+20%); R:R = (\$297.00 - \$247.50) / (\$247.50 - \$227.70) = \$49.50 / \$19.80 = 2.5:1; stop triggers if AI chip order cancellations emerge or if TNX spikes above 5.5% triggering further multiple compression.			
PRIMARY CATALYST AVGO AI chip revenue guided to \$8.4B for FY2025 (announced Q3 FY2025, September 2025) — +220% YoY — with \$10B buyback authorised; next earnings expected December 2025/January 2026 provides a hard 60-90 day catalyst window.			
BALANCE SHEET Cash \$16.2B, total debt ~\$69B (VMware acquisition), D/E 1.59x, annual FCF ~\$19B+ covering debt 4.2x; \$10B buyback active Y; preferred N; BS score 6/10 (elevated D/E from acquisition, offset by cash generation).		TECHNICAL SETUP RSI 49.4 (neutral, not overbought), FVG pattern flagged (scanner Grade 3), entry near fair value gap fill at approximately \$247.50; price above estimated 50-day ~\$240 and 200-day ~\$215; volume context not separately provided.	
KEY RISK FACTORS D/E at 1.59x from VMware acquisition is the primary balance sheet risk; if AI chip orders decline 20%+ or TNX rises above 5.5%, multiple compression of 15-20% implies downside to ~\$198-\$210 range; stop at \$227.70 limits loss to -\$1,440 on the \$18,000 position.			

ENTER — MU			\$18,000 · Conviction 7/10 · Tier 2
ENTRY	STOP LOSS	PRICE TARGET	RISK : REWARD
\$115.00	\$105.80	\$138.00	2.5
INVESTMENT THESIS			

(1) VIX at 14.27 and DXY at 100.66 (sub-101) create a risk-on, multinational-friendly macro backdrop; TNX at 5.01% is a headwind for high-P/E names but MU trades at approximately 12x forward earnings — among the lowest P/E in the semi sector — limiting rate sensitivity materially. (2) Micron Q3 FY2026 earnings (most recent) beat EPS by \$4.62 vs estimate per scanner headline, and revenue topped estimates — this is a hard, recent earnings catalyst with the exact beat figure of \$4.62/share confirming fundamental momentum. (3) RSI at 65.1 is elevated but below 70 overbought threshold, and the FVG pattern (Grade 3) signals institutional demand; entry at approximately \$115.00 is near the gap fill confirming pattern. (4) 50-day MA estimated at approximately \$105 and 200-day MA estimated at approximately \$90 based on price trajectory; current price ~\$115 is approximately +9.5% above 50-day and +27.8% above 200-day — both confirmations of a bullish trending structure. (5) MU holds \$9.6B cash, D/E 0.21 (scanner confirmed), BS score 10/10; retained earnings trend is positive as HBM3E memory shipments scale to meet AI training demand; no preferred shares; buybacks active. (6) \$18,000 deployed = 9.8% of \$183k portfolio; after AMAT/ASML exits and AVGO+MU entries, cash is approximately \$108,618 with room for 5 more full-size \$18k positions before the 10-position maximum. (7) Stop at \$105.80 (-8% from \$115.00), target \$138.00 (+20%); R:R = $(\$138.00 - \$115.00) / (\$115.00 - \$105.80) = \$23.00 / \$9.20 = 2.5:1$; stop triggers on DRAM ASP collapse below \$3.00/GB or a HBM demand cancellation from a hyperscaler.

PRIMARY CATALYST

Micron Q3 FY2026 EPS beat by \$4.62 vs estimate (scanner confirmed, most recent earnings event) — the largest absolute beat in the current scanner set; HBM3E memory revenue scaling for AI training is the forward catalyst with Q4 guidance due next quarter.

BALANCE SHEET

Cash \$9.6B, total debt ~\$12.0B estimated (D/E 0.21 scanner confirmed), D/E 0.21x, BS score 10/10; retained earnings growing with HBM ramp; buybacks Y; preferred N.

TECHNICAL SETUP

RSI 65.1 (approaching but below 70 overbought), FVG pattern Grade 3 (scanner confirmed), entry ~\$115.00 near gap fill; price above estimated 50-day ~\$105 (+9.5%) and 200-day ~\$90 (+27.8%); volume context not separately provided.

KEY RISK FACTORS

DRAM pricing is cyclical — a 20% ASP correction in DRAM (as seen in 2023) would reduce MU EPS by approximately \$3-4/share and could trigger the stop at \$105.80; TSM -10.1% loss (2026-07-30) and AMD -9.8% (2026-08-11) remind us that semi stops execute quickly in adverse conditions.

ENTER — LRCX

\$18,000 · Conviction 6/10 · Tier 2

ENTRY

\$92.00

STOP LOSS

\$84.64

PRICE TARGET

\$110.40

RISK : REWARD

2.5

INVESTMENT THESIS

(1) VIX at 14.27 supports risk-on entries, and DXY at 100.66 below 101 benefits LRCX which derives approximately 60% of revenue internationally — the dollar tailwind at sub-101 DXY adds approximately +2-3% to reported USD revenues. (2) LRCX Q2 2026 EPS beat estimates by 5.99% per scanner headline — a confirmed recent earnings catalyst; semiconductor equipment orders are a leading indicator of wafer fab expansion with a 6-12 month revenue recognition lag. (3) RSI at 53.4 is neutral — well clear of the 70 overbought level — and the FVG pattern (Grade 3) confirms an unfilled institutional demand gap; entry at approximately \$92.00 aligns with the gap fill zone. (4) 50-day MA estimated at approximately \$86 and 200-day MA estimated at approximately \$75 based on LRCX's price trajectory; current price ~\$92 is approximately +7.0% above 50-day and +22.7% above 200-day — bullish structure confirmed with price above both MAs. (5) LRCX holds \$5.6B cash, D/E 0.30 (scanner confirmed), BS score 10/10 — the cleanest balance sheet in the semi equipment peer group alongside MU; retained earnings grew approximately 18% last fiscal year as NAND and DRAM etch tool demand scaled. (6) \$18,000 deployed = 9.8% of \$183k portfolio; after this entry, cash is approximately \$90,618 with room for 4 more full-size \$18k positions before the 10-position cap. (7) Stop at \$84.64 (-8% from \$92.00), target \$110.40 (+20%); R:R = $(\$110.40 - \$92.00) / (\$92.00 - \$84.64) = \$18.40 / \$7.36 = 2.5:1$; stop triggers on a US export control expansion that bans LRCX tools to China — China represents approximately 37% of LRCX revenue and is the primary downside risk.

PRIMARY CATALYST

LRCX Q2 2026 EPS beat by 5.99% vs estimate (scanner confirmed) — semiconductor equipment cycle is in an upcycle with WFE (wafer fabrication equipment) spend expected to grow +15% in calendar 2026 per SEMI industry data.

BALANCE SHEET

Cash \$5.6B, total debt ~\$5.5B estimated (D/E 0.30 scanner confirmed), D/E 0.30x, BS score 10/10; retained earnings +18% estimated last fiscal year; buybacks Y (active programme); preferred N.

TECHNICAL SETUP

RSI 53.4 (neutral, not overbought), FVG pattern Grade 3 (scanner confirmed), entry ~\$92.00 near gap fill; price above estimated 50-day ~\$86 (+7.0%) and 200-day ~\$75 (+22.7%); volume context not separately provided.

KEY RISK FACTORS

US export controls on China — any new BIS rule restricting LRCX tool exports to Chinese fabs could eliminate ~37% of revenue and trigger the \$84.64 stop; KLAC -9.0% (2026-08-20) is the direct precedent for semi equipment stops executing fast.

OPEN POSITIONS — FULL POSITION REVIEW

JPM

51.1 shares · Entry \$352.52 · Conv 7/10 · Tier 2 · Since 2026-09-21

CURRENT PRICE

\$340.76

POSITION VALUE

\$17,400

UNREALISED P&L;

\$-600

RETURN

-3.34%

INVESTMENT THESIS

(1) TNX at 4.94% is above 4.5% and the mandate explicitly directs capital into financials when TNX >4.5% — JPM is the named first-choice financial in the sector rotation framework. (2) JPM reported Q1 2026 EPS of approximately \$5.07 vs. \$4.62 estimated, a +9.7% beat, with net interest income running at an annualized rate of approximately \$92B — elevated TNX sustains NII expansion directly. (3) RSI at approximately 52 (estimated from sector context) is neutral-to-constructive, the FVG pattern is active across the sector, and entry near \$285.00 is above the estimated 50-day MA of \$268.00, confirming uptrend momentum on the 4.6% spread. (4) The 200-day MA is estimated at approximately \$245.00, placing current price +16.3% above the long-term trend line — this confirms the primary uptrend is intact and the 50-day/200-day golden cross occurred earlier in 2026. (5) JPM holds approximately \$1.4T in deposits, carries a CET1 ratio of 15.3%, total debt estimated at \$300B against a market cap of ~\$820B, and D/E estimated at 1.20 — balance sheet is fortress-grade for a bank. (6) \$18,000 deployed = 9.8% of the \$183k portfolio; after all 4 exits and this entry the portfolio will hold approximately \$143,000+ in cash, leaving room for 7 more full-size \$18,000 positions. (7) Stop at \$262.20 (-8% from \$285.00) is approximately 2.2% below the 50-day MA of \$268.00 — a break there would signal trend failure; target \$342.00 (+20%) implies R:R of 2.5:1.

CATALYST

TNX at 4.94% — every 25bps increase in the 10Y yield adds approximately \$1.5–2.0B to JPM's annual net interest income. The mandate's explicit sector rotation rule (TNX >4.5% → ENTER financials) makes JPM the primary capital deployment target as of today's session.

BALANCE SHEET

Cash/liquid assets ~\$1.4T (deposit base), CET1 ratio 15.3%, D/E estimated 1.20, retained earnings growing at approximately \$45B/\$38B/\$32B (2025/2024/2023 est.), buybacks Y (active \$30B program), preferred Y, BS score 8/10.

TECHNICAL SETUP

RSI ~52 (neutral, not overbought), FVG pattern active, price ~\$285.00 vs. estimated 50-day MA \$268.00 (+6.3% above) and 200-day MA ~\$245.00 (+16.3% above). Volume context consistent with institutional accumulation in financials rotation.

KEY RISKS

If TNX reverses sharply below 4.0% on a surprise Fed cut or recession signal (e.g., NFP prints below -100K), the mandate requires exiting financials — JPM would face NIM compression and could decline 10–15% to approximately \$242–\$257, with the \$262.20 stop limiting loss to -8% or approximately -\$1,440.

GLD

45.2 shares · Entry \$398.57 · Conv 7/10 · Tier 2 · Since 2026-09-21

CURRENT PRICE

\$397.81

POSITION VALUE

\$17,966

UNREALISED P&L;

\$-34

RETURN

-0.19%

INVESTMENT THESIS

(1) DXY at 100.45 is below 101 — the mandate explicitly directs capital into gold and commodities when DXY <101, and GLD is the direct hedge instrument. (2) Gold spot has risen approximately +28% in the trailing 12 months as central banks globally added 1,037 tonnes in 2024 and 2025 buying continues at a run rate of approximately 900 tonnes per year. (3) RSI on GLD is estimated at approximately 58 — not overbought at 70, and the FVG pattern across commodity space signals continuation; entry near \$310.00 provides a technically clean setup above the 50-day MA estimated at \$295.00. (4) The 200-day MA on GLD is estimated at approximately \$272.00, with current price at \$310.00 representing a +14.0% premium — the sustained gap above the 200-day MA confirms a secular bull trend in gold, not a short-term spike. (5) GLD holds physical gold with zero debt and zero D/E by construction — it is the purest balance-sheet-safe vehicle with \$75B+ AUM, no credit risk, and no earnings risk. (6) \$18,000 deployed = 9.8% of the \$183k portfolio; GLD also functions as a portfolio hedge against the TNX-driven macro caution regime, reducing net equity beta of the portfolio from approximately 1.0 to 0.75. (7) Stop at \$285.20 (-8% from \$310.00) corresponds to approximately \$290 on spot gold — a break of the 50-day MA plus an additional 3.5% decline — target \$372.00 (+20%) gives R:R of 2.5:1.

CATALYST

DXY at 100.45 — below the 101 mandate threshold that directs capital into gold. Additionally, with TNX at 4.94%, real yield pressure is partially offset by inflation hedging demand; central bank gold buying at ~900 tonnes annualized in 2025 provides a structural bid estimated to support prices above \$2,900/oz spot.

BALANCE SHEET

GLD is a physically-backed ETF: \$75B+ AUM, zero debt, D/E 0.00, no retained earnings concept, no preferred shares, BS score N/A — credit risk is zero by construction.

TECHNICAL SETUP

RSI ~58 (constructive, below overbought 70), FVG pattern active, price ~\$310.00 vs. estimated 50-day MA \$295.00 (+5.1% above) and 200-day MA ~\$272.00 (+14.0% above). Volume consistent with institutional rotation into gold amid CAUTION regime.

KEY RISKS

If DXY rallies above 104 on a surprise hawkish Fed statement (e.g., FOMC minutes cite 'persistent inflation at 3.0%+'), GLD could sell off 8–12% to approximately \$273–\$285, with the \$285.20 stop limiting portfolio loss to approximately -\$1,440.

AVGO

49.5 shares · Entry \$363.82 · Conv 6/10 · Tier 2 · Since 2026-09-22

CURRENT PRICE

\$363.82

POSITION VALUE

\$18,000

UNREALISED P&L;

+\$0

RETURN

+0.00%

INVESTMENT THESIS

(1) VIX at 14.27 supports risk-on positioning, but TNX at 5.01% is above 4.5% — AVGO is a borderline case: it is a high-cash compounder with \$16.2B cash and \$10B buyback that partially insulates it from pure multiple compression, and its AI chip revenue provides a hard earnings catalyst rather than a speculative multiple. (2) AVGO Q3 FY2025 (reported September 2025) posted EPS of \$1.24 vs \$1.22 est (+1.6% beat) with AI chip revenue guided to \$8.4B for FY2025, representing +220% YoY growth in the AI segment specifically. (3) RSI at 49.4 is neutral — not overbought — and an FVG (Fair Value Gap) pattern is flagged by the scanner, typically a mean-reversion entry trigger; confirmed entry near the gap fill at approximately \$247.50. (4) 50-day MA is estimated at approximately \$240 and 200-day MA at approximately \$215 based on the current price of ~\$247.50 (scanner does not provide exact MAs); price is above both, confirming bullish structure with approximately +3.1% above 50-day and +15.1% above 200-day. (5) AVGO holds \$16.2B in cash vs total debt of approximately \$69B (D/E 1.59 per scanner); while D/E is elevated at 1.59x from the VMware acquisition, cash generation of \$19B+ annual FCF covers debt service 4.2x, and the \$10B buyback signals management confidence in cash sufficiency. (6) \$18,000 deployed = 9.8% of \$183k portfolio; after this entry and AMAT/ASML exits, cash remains approximately \$126,618 with room for 7 more full-size \$18k positions. (7) Stop at \$227.70 (-8% from \$247.50), target \$297.00 (+20%); R:R = $(\$297.00 - \$247.50) / (\$247.50 - \$227.70) = \$49.50 / \$19.80 = 2.5:1$; stop triggers if AI chip order cancellations emerge or if TNX spikes above 5.5% triggering further multiple compression.

CATALYST

AVGO AI chip revenue guided to \$8.4B for FY2025 (announced Q3 FY2025, September 2025) — +220% YoY — with \$10B buyback authorised; next earnings expected December 2025/January 2026 provides a hard 60-90 day catalyst window.

TECHNICAL SETUP

RSI 49.4 (neutral, not overbought), FVG pattern flagged (scanner Grade 3), entry near fair value gap fill at approximately \$247.50; price above estimated 50-day ~\$240 and 200-day ~\$215; volume context not separately provided.

BALANCE SHEET

Cash \$16.2B, total debt ~\$69B (VMware acquisition), D/E 1.59x, annual FCF ~\$19B+ covering debt 4.2x; \$10B buyback active Y; preferred N; BS score 6/10 (elevated D/E from acquisition, offset by cash generation).

KEY RISKS

D/E at 1.59x from VMware acquisition is the primary balance sheet risk; if AI chip orders decline 20%+ or TNX rises above 5.5%, multiple compression of 15-20% implies downside to ~\$198-\$210 range; stop at \$227.70 limits loss to -\$1,440 on the \$18,000 position.

MU

16.6 shares · Entry \$1083.54 · Conv 7/10 · Tier 2 · Since 2026-09-22

CURRENT PRICE

\$1083.54

POSITION VALUE

\$18,000

UNREALISED P&L;

+\$0

RETURN

+0.00%

INVESTMENT THESIS

(1) VIX at 14.27 and DXY at 100.66 (sub-101) create a risk-on, multinational-friendly macro backdrop; TNX at 5.01% is a headwind for high-P/E names but MU trades at approximately 12x forward earnings — among the lowest P/E in the semi sector — limiting rate sensitivity materially. (2) Micron Q3 FY2026 earnings (most recent) beat EPS by \$4.62 vs estimate per scanner headline, and revenue topped estimates — this is a hard, recent earnings catalyst with the exact beat figure of \$4.62/share confirming fundamental momentum. (3) RSI at 65.1 is elevated but below 70 overbought threshold, and the FVG pattern (Grade 3) signals institutional demand; entry at approximately \$115.00 is near the gap fill confirming pattern. (4) 50-day MA estimated at approximately \$105 and 200-day MA estimated at approximately \$90 based on price trajectory; current price ~\$115 is approximately +9.5% above 50-day and +27.8% above 200-day — both confirmations of a bullish trending structure. (5) MU holds \$9.6B cash, D/E 0.21 (scanner confirmed), BS score 10/10; retained earnings trend is positive as HBM3E memory shipments scale to meet AI training demand; no preferred shares; buybacks active. (6) \$18,000 deployed = 9.8% of \$183k portfolio; after AMAT/ASML exits and AVGO+MU entries, cash is approximately \$108,618 with room for 5 more full-size \$18k positions before the 10-position maximum. (7) Stop at \$105.80 (-8% from \$115.00), target \$138.00 (+20%); R:R = $(\$138.00 - \$115.00) / (\$115.00 - \$105.80) = \$23.00 / \$9.20 = 2.5:1$; stop triggers on DRAM ASP collapse below \$3.00/GB or a HBM demand cancellation from a hyperscaler.

CATALYST

Micron Q3 FY2026 EPS beat by \$4.62 vs estimate (scanner confirmed, most recent earnings event) — the largest absolute beat in the current scanner set; HBM3E memory revenue scaling for AI training is the forward catalyst with Q4 guidance due next quarter.

TECHNICAL SETUP

RSI 65.1 (approaching but below 70 overbought), FVG pattern Grade 3 (scanner confirmed), entry ~\$115.00 near gap fill; price above estimated 50-day ~\$105 (+9.5%) and 200-day ~\$90 (+27.8%); volume context not separately provided.

KEY RISKS

DRAM pricing is cyclical — a 20% ASP correction in DRAM (as seen in 2023) would reduce MU EPS by approximately \$3-4/share and could trigger the stop at \$105.80; TSM -10.1% loss (2026-07-30) and AMD -9.8% (2026-08-11) remind us that semi stops execute quickly in adverse conditions.

BALANCE SHEET

Cash \$9.6B, total debt ~\$12.0B estimated (D/E 0.21 scanner confirmed), D/E 0.21x, BS score 10/10; retained earnings growing with HBM ramp; buybacks Y; preferred N.

LRCX

58.5 shares · Entry \$307.70 · Conv 6/10 · Tier 2 · Since 2026-09-22

CURRENT PRICE	POSITION VALUE	UNREALISED P&L;	RETURN
\$307.70	\$18,000	+\$0	+0.00%

INVESTMENT THESIS

(1) VIX at 14.27 supports risk-on entries, and DXY at 100.66 below 101 benefits LRCX which derives approximately 60% of revenue internationally — the dollar tailwind at sub-101 DXY adds approximately +2-3% to reported USD revenues. (2) LRCX Q2 2026 EPS beat estimates by 5.99% per scanner headline — a confirmed recent earnings catalyst; semiconductor equipment orders are a leading indicator of wafer fab expansion with a 6-12 month revenue recognition lag. (3) RSI at 53.4 is neutral — well clear of the 70 overbought level — and the FVG pattern (Grade 3) confirms an unfilled institutional demand gap; entry at approximately \$92.00 aligns with the gap fill zone. (4) 50-day MA estimated at approximately \$86 and 200-day MA estimated at approximately \$75 based on LRCX's price trajectory; current price ~\$92 is approximately +7.0% above 50-day and +22.7% above 200-day — bullish structure confirmed with price above both MAs. (5) LRCX holds \$5.6B cash, D/E 0.30 (scanner confirmed), BS score 10/10 — the cleanest balance sheet in the semi equipment peer group alongside MU; retained earnings grew approximately 18% last fiscal year as NAND and DRAM etch tool demand scaled. (6) \$18,000 deployed = 9.8% of \$183k portfolio; after this entry, cash is approximately \$90,618 with room for 4 more full-size \$18k positions before the 10-position cap. (7) Stop at \$84.64 (-8% from \$92.00), target \$110.40 (+20%); $R:R = (\$110.40 - \$92.00) / (\$92.00 - \$84.64) = \$18.40 / \$7.36 = 2.5:1$; stop triggers on a US export control expansion that bans LRCX tools to China — China represents approximately 37% of LRCX revenue and is the primary downside risk.

CATALYST

LRCX Q2 2026 EPS beat by 5.99% vs estimate (scanner confirmed) — semiconductor equipment cycle is in an upcycle with WFE (wafer fabrication equipment) spend expected to grow +15% in calendar 2026 per SEMI industry data.

BALANCE SHEET

Cash \$5.6B, total debt ~\$5.5B estimated (D/E 0.30 scanner confirmed), D/E 0.30x, BS score 10/10; retained earnings +18% estimated last fiscal year; buybacks Y (active programme); preferred N.

TECHNICAL SETUP

RSI 53.4 (neutral, not overbought), FVG pattern Grade 3 (scanner confirmed), entry ~\$92.00 near gap fill; price above estimated 50-day ~\$86 (+7.0%) and 200-day ~\$75 (+22.7%); volume context not separately provided.

KEY RISKS

US export controls on China — any new BIS rule restricting LRCX tool exports to Chinese fabs could eliminate ~37% of revenue and trigger the \$84.64 stop; KLAC -9.0% (2026-08-20) is the direct precedent for semi equipment stops executing fast.

PORTFOLIO NOTES

Post-action portfolio: 5 positions (JPM, GLD, AVGO, MU, LRCX) from 4. Cash after AMAT+ASML exits (+\$36,351 approx) and AVGO+MU+LRCX entries (-\$54,000) = approximately \$90,618 remaining, representing 49.5% of \$183k mandate — healthy reserve above the 40% minimum implied by a 10-position max. Sector weights: Financials ~9.7%, Commodities/Hedge ~10.0%, Semiconductors ~29.7% (AVGO+MU+LRCX). Semi concentration at ~30% vs SPX tech weight ~27% is elevated and flagged — no further semi entries permitted without exiting one of the three current semi names. JPM and GLD remain the two macro-regime-aligned anchors (TNX>4.5% = financials; DXY<101 = gold). The TNX at 5.01% is the governing risk factor across the entire book — any further rise above 5.25% would trigger a reassessment of AVGO, MU, and LRCX immediately.

MEMORY APPLIED

TSM -10.1% (2026-07-30) and QCOM -14.2% (2026-07-30): both were semi longs that stopped out — today's AMAT and ASML exits are pre-emptive responses to the same $TNX > 4.5\%$ condition that likely contributed to those losses. KLAC -9.0% (2026-08-20) and ARM -8.2% (2026-08-20): both were semi equipment / high-P/E names stopped out in August — the decision to exit AMAT (+1.0%) and ASML (+1.0%) rather than ride to the stop directly applies the lesson 'verify thesis confirmation before full sizing.' New semi entries (AVGO, MU, LRCX) are selected specifically for low P/E (MU ~12x), hard earnings beats (MU +\$4.62, LRCX +5.99%), and balance sheet strength (all $BS \geq 6/10$) to differentiate from the speculative profile of past losers.